Time: 5 minutes

Outcome: Identify nonprice determinants that shift demand left or right.

Difficulty: Beginner

Determinants of Demand

THE CORE IDEA

Demand shifts when a nonprice determinant changes. Demand increases and shifts right when buyers want more at every price; demand decreases and shifts left when they want less at every price. Important determinants include income, tastes and preferences, expectations, the number of buyers, and the prices of substitutes and complements. The direction of an income effect depends on whether the good is normal or inferior, and the effect of a related-good price depends on whether the goods are substitutes or complements.

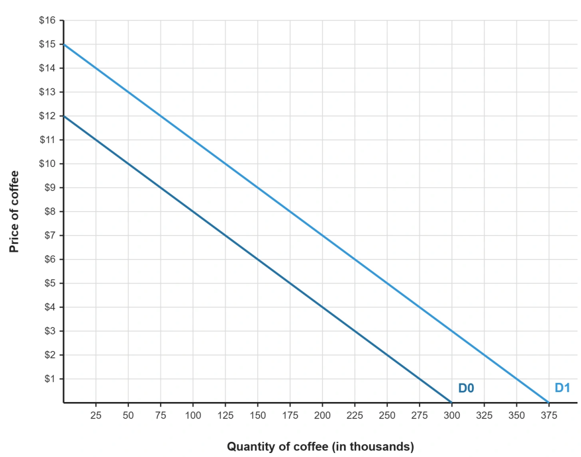
HOW TO RECOGNIZE IT

- Consumer income, preferences, expectations, or the number of buyers changes.
- The price of a substitute or complement changes.
- Quantity demanded changes at the same price.
- The entire demand curve moves left or right rather than moving to another point on one curve.

WATCH OUT

Do not treat a change in the good's own price as a demand shifter. Own-price changes create movements along the existing curve. A nonprice determinant changes how much buyers want at every price and shifts the entire curve.

WORKED EXAMPLE: DEMAND SHIFT



At a coffee price of $10, the original curve D0 shows quantity demanded of 50 thousand, while D1 shows 125 thousand. The price of coffee is held constant, so the 75-thousand increase cannot be a movement along D0. It is a rightward shift from D0 to D1, meaning a nonprice determinant has increased demand.

CHECK YOURSELF

Income rises for buyers of a normal good. Which direction does its demand curve shift, and why?

READY? Return to the game and master this concept.